Table 7: Insurance Channel Decomposition: Beta vs. Idiosyncratic Volatility (1980–2022)

	H&S baseline (extended)	Beta only	Idio vol only	Full decomposition	Full + controls
(Intercept)	0.628**	0.076	0.287	0.602*	0.542
	(0.284)	(0.299)	(0.257)	(0.324)	(0.347)
FDI assets / GDP	-0.449	-0.104	-0.466	-0.239	0.034
	(0.319)	(0.379)	(0.332)	(0.359)	(0.367)
FDI liabilities / GDP	0.384	0.076	0.401	0.196	-0.047
	(0.299)	(0.353)	(0.310)	(0.334)	(0.340)
Output vol. (H\&S HP)	-28.776***				
	(6.563)				
Beta vs. world output		-0.613*		-0.460	-0.265
		(0.308)		(0.294)	(0.298)
Idiosyncratic volatility			-25.512***	-23.681***	-25.658**
			(7.258)	(7.283)	(10.185)
Rule of Law					-0.260
					(0.187)
OPEC dummy					-0.619
					(0.734)
HIPC dummy					0.571
					(0.428)
Num.Obs.	78	78	78	78	78
R2	0.228	0.077	0.167	0.194	0.273
R2 Adj.	0.197	0.040	0.133	0.150	0.200

Notes: Standard errors in parentheses. Dependent variable: cumulative dark matter exports over 1980–2022, divided by end-year GDP. *Beta vs. world output* is the country's average 10-year rolling OLS beta of real GDP growth on world real GDP growth. *Idiosyncratic volatility* is the average SD of residuals from the same regression. H&S's *Output vol.* conflates both; columns (2)–(5) decompose it. Theory predicts: negative beta (low-beta countries sell insurance, accumulate dark matter), insignificant idiosyncratic volatility. All variables winsorised at the 1% level. * p<0.10, ** p<0.05, *** p<0.01.